Pinecrest CLO 2025-1, Ltd.

Preliminary Term Sheet | 6 March 2025 | Confidential

1. Transaction overview

This preliminary term sheet describes Pinecrest CLO 2025-1, Ltd., a Cayman Islands exempted company (the Issuer), and Pinecrest CLO 2025-1, LLC, a Delaware limited liability company (the Co-Issuer). The Issuers will issue secured notes and subordinated notes in a collateralized loan obligation managed by Falcon Tree Capital LLC (the Collateral Manager). U.S. Bank Trust Company, N.A. will act as Trustee, collateral administrator, and notes paying agent. The transaction is expected to close on 20 March 2025 in New York. This document is a fictional sample for software testing only and is not an offer to sell securities.

Maya Ellison is the lead portfolio manager at Falcon Tree Capital LLC for Pinecrest CLO 2025-1. Andre Copeland is the chief credit officer. The Collateral Manager is headquartered in New York and is a wholly owned subsidiary of Falcon Tree Holdings LP.

2. Capital structure

The Issuers expect to issue the following tranches. Par amounts are in US dollars. Ratings are expected ratings from Moody's and S&P and are not a recommendation to buy.

- Class A Senior Secured Floating Rate Notes: $340,000,000; AAA(sf)/Aaa(sf); SOFR + 1.45%; WAL 6.8 years.
- Class B Senior Secured Floating Rate Notes: $49,300,000; AA(sf)/Aa2(sf); SOFR + 2.10%.
- Class C Mezzanine Secured Deferrable Notes: $32,980,000; A(sf)/A2(sf); SOFR + 2.85%.
- Class D Mezzanine Secured Deferrable Notes: $24,820,000; BBB(sf)/Baa3(sf); SOFR + 4.20%.
- Class E Junior Secured Deferrable Notes: $19,040,000; BB(sf)/Ba3(sf); SOFR + 7.15%.
- Subordinated Notes: $43,860,000; unrated; residual interest.

3. Collateral and eligibility

The portfolio will consist primarily of US broadly syndicated first-lien senior secured loans, with a target par amount of $400,000,000. At closing, the warehouse facility provided by Atlantic Wharf Bank will be refinanced into the CLO. Eligible collateral must be US dollar denominated, have a Moody's rating of at least Caa1 or an S&P rating of at least CCC+, and may not be equity, bonds, or delayed-draw commitments above the stated basket.

Initial seed names expected in the warehouse include Helios Telecom, Inc. (first-lien term loan), Pinecrest Outdoor Co. (first-lien term loan), Summit County Broadband (first-lien term loan), Apex Industrial Holdings (first-lien term loan). Helios Telecom, Inc. is sponsored by Orion Capital Partners.

4. Coverage tests and covenants

Pinecrest CLO 2025-1 will be governed by standard overcollateralization and interest coverage tests. Failure of a Class A/B Overcollateralization Test or a Class A/B Interest Coverage Test redirects interest proceeds to pay down senior notes in sequential order until the test is cured.

- Class A/B Overcollateralization Test: minimum 123.5%. This covenant is measured monthly by U.S. Bank Trust Company, N.A. as Trustee.
- Class A/B Interest Coverage Test: minimum 120.0%.
- Class C Overcollateralization Test: minimum 114.0%.
- Class D Overcollateralization Test: minimum 108.5%.
- Interest Diversion Test: if the Class E par coverage ratio is below 104.5%, 50% of remaining interest is used to buy additional collateral or pay down notes.

5. Concentration limits

The indenture imposes the following concentration limits on the collateral principal amount. Excess amounts are treated as haircut collateral for tests.

- Largest obligor: 2.0% (Helios Telecom, Inc. is expected near 1.78% at close).
- Largest Moody's industry: 12.0%.
- Caa bucket (Moody's Caa1 or below): 7.5%.
- Second-lien and unsecured loans: 5.0% combined.
- Covenant-lite loans: 90.0% maximum.
- Non-US obligors: 15.0% maximum.

6. Parties and contacts

Collateral Manager: Falcon Tree Capital LLC, New York. Primary coverage: Maya Ellison (portfolio manager) and Andre Copeland (chief credit officer). Trustee and collateral administrator: U.S. Bank Trust Company, N.A., St. Paul. Placement agent: Westfield Securities LLC. Warehouse lender: Atlantic Wharf Bank. Issuer counsel: Hale & Martin LLP. Questions on this term sheet should be directed to Maya Ellison at Falcon Tree Capital LLC.

The Collateral Manager may sell or buy loans for Pinecrest CLO 2025-1 during the five-year reinvestment period, subject to the eligibility criteria and the reinvestment overcollateralization test. After the reinvestment period ends on 20 March 2030, principal proceeds are used to amortize the notes sequentially, beginning with the Class A Senior Secured Floating Rate Notes.